

Five Steps to Financial Wellbeing

Fostering a sense of contentment and fulfilment, and kicking against the instinct to spend our whole lives striving for more is important for our general wellbeing and happiness, but it's also a really sound financial habit too. When we don't put too much pressure on our financial status to fill a hole, and when we find ways to improve our quality of life without relying on accruing more and more material possessions, we might find that habits like overspending, saving obsessively, overworking ourselves or ignoring our finances start to naturally dissipate. We'll discuss our emotional relationship with spending in more detail a little later on, but for now, I'd really like you to think about some times in your life when you've felt content. They could be fleeting or sustained, joyous or simply calm. Now, I'd like you to think about your money habits around that time. Were they calmer and more relaxed? Did you feel less of a compulsion to spend?

Interestingly, much of our culture tells us that, in the relationship between success (and the material benefits of that success, such as money) and happiness, the causation is weighted towards success – i.e. success makes you happy, but psychologists have also argued convincingly that the opposite is true, and that the flow can happen in the other direction.⁵ Being happy can make you successful too – but you have to get off the treadmill.

I'd now like you to start thinking about these methods for combatting hedonic adaption, and how you might be able to apply them to your own life. Be really honest with yourself